



FINANCIAL MANAGEMENT

Fundamentals Of Financial Management



English section

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Chapter One

Nature of
Financial Management

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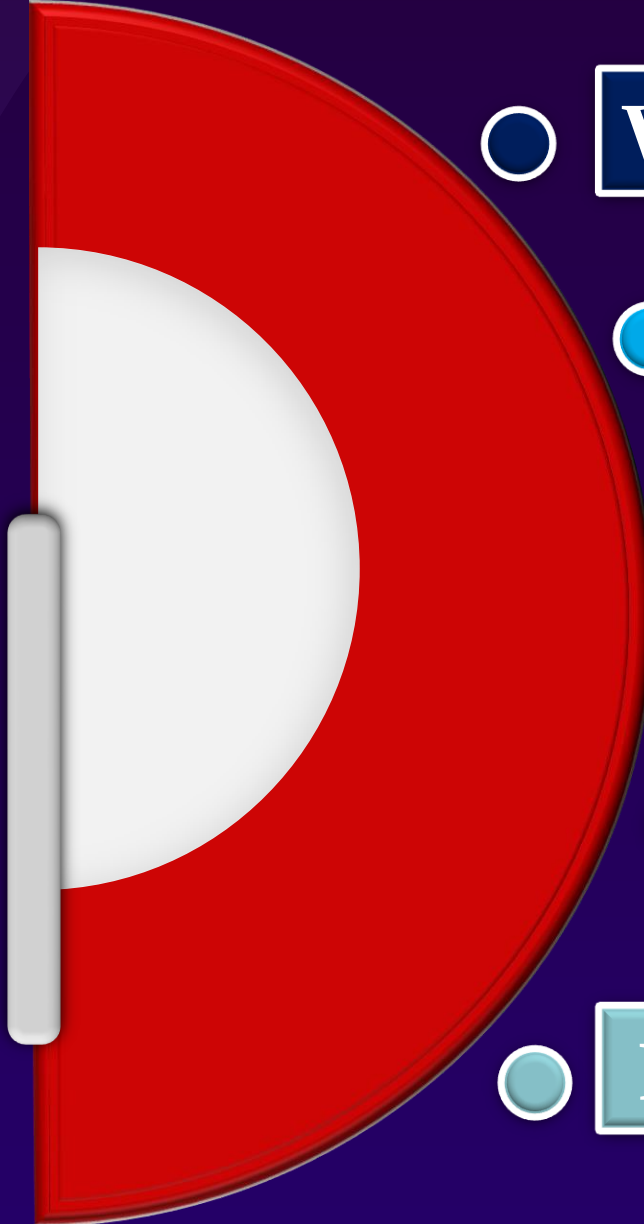
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Nature of Financial Management

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● Content

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- What is Financial Management (F.M.)?
 - The Role of the Financial Manager.
 - Importance of Financial Management.
 - Objectives of Financial Management.
 - Functions of Financial Management.



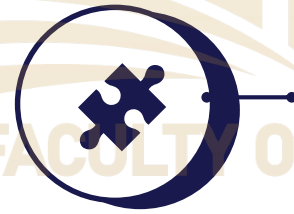
Introduction



The concept of the financial function witnessed a significant development during the second half of the twentieth century, specifically since the mid-fifties, and this development was inevitable as a result of the conditions and challenges faced by business organizations, which were represented by the expansion of competition, the increase in inflation, and the tremendous technological progress, in addition to concrete government intervention, in the field of business and economic affairs in general.

The financial function emerged at the beginning of the twentieth century and was concerned with the legal aspects of securities issuance.

Since the beginning of the eighties until now, more attention has been paid to a number of important issues such as inflation and its relationship to interest rates, the emergence of money companies in Egypt, modern technology, advanced communications and the use of computers in the analysis of financial decisions.



1- What is Financial Management?

What is
**Financial
Management?**

Definition

Types

Functions

Best Practices





Many writers and researchers have addressed the definition of financial management, with some defining it as the work or activities carried out by the CFO responsible for the project. However, it is disadvantaged by this definition that the CFO's activity may not include all the financial work necessary for the project, as some financial decisions are made at a higher management level. Finance is a link between accounting, economics, and other related fields of study.

In simple terms, financial management is the business function that deals with investing the available financial resources in a way that greater business success and return-on-investment (ROI) is achieved.



Gritman also defined it as "the art and science of money management" while others see financial management as the function that focuses on making decisions about the size and type of assets to be purchased, and the size and type of financing appropriate to each type of asset in order to achieve the objectives of the enterprise.

Pinches provides a comprehensive analytical definition of the concept of financial management, saying that the word finance is used to describe two basic aspects: the financial resources available to governments, organizations, or individuals, as well as the management of those resources.

According to this vision, financial management is defined as "the process of obtaining the management and financing of the resources necessary for an enterprise by financial means, under specific environmental conditions".

The demand for financial management skills exists in many sectors of our society including corporate management, financial institutions, consulting, and even non-profit organizations.

From the foregoing, it is clear that the financial functions distinguished from other functions in the project by the following:



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- (1) Infiltration in all aspects of the activity of the enterprise, where it is difficult to imagine any activity in the organization performing its tasks or achieving its objectives in isolation from financial needs.**
 - (2) Financial decisions are binding decisions of the enterprise in most cases, which requires extreme care when making these types of decisions.**
 - (3) Some financial decisions are fateful decisions that may affect the success of the institution or its ability to continue in the market such as merger, debt utilization or investment decisions.**
 - (4) The results of financial decisions take a relatively long time to be recognized, which can lead to difficulty in fixing the defect or the possibility of remedying it, which reflects the need for special skills and high analytical abilities to make this type of decision.**

2- The Role of the Financial Manager.



There are at least two who assist the CFO in making financial decisions, Treasurer, who follows up on ensuring that the entity gets its required needs, making sure that cash is collected and invested, maintaining relationships with banks and other financial institutions, as well as ensuring that the entity's obligations are paid in a timely manner.

The second person is called the Controller, which is responsible for the preparation of financial statements, financial planning and control, internal control, payment of taxes and reporting to external bodies such as the Central Auditing Organization, the Ministry of Finance and the Ministry of Planning.

The tasks or responsibilities of the CFO can be classified in to the following six aspects:



The tasks or responsibilities of the CFO

Management of the structure of the assets of the enterprise.

Coordination and control.

Risk Management.

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Forecasting and planning.

Management of the financing structure.

Dealing with financial markets.

(1)Forecasting and planning:

The CFO should collaborate and exchange views with senior officials of the company when developing the necessary plans to achieve the overall objectives, and determine what the company should look like in the future.



(2) Management of the structure of the assets of the enterprise:

These decisions relate to how these assets are acquired and optimally used and therefore involve not only an analysis of the profitability of those assets but also the size of the enterprise and its growth rate.

(3) Management of the financing structure:

The third aspect of the CFO's responsibilities is to finance the assets of the enterprise by determining the best combination of internal and external sources of funding.



for example, the CFO may decide to finance expansions in the enterprise with significant burdens in the form of interest which reduces the margin of safety and increases risk rates. From a financial point of view, both internal and external sources of project financing should be used in the form of a mix that achieves the lowest cost of financing the assets of the enterprise.

(4) Coordination and control:

The CFO must also coordinate with other officials of the organization to ensure the efficiency of carrying out the various activities of the company.

For example, marketing decisions such as the introduction of a new product, i.e. the development of an existing product or the entry of new markets, affect the growth rates of sales, which in turn affect investment requirements, and therefore marketing decisions must take into account the mutual impact with financial decisions where they affect and are influenced by policies related to the management of cash, inventory, credit and energy utilization.

(5) Dealing with financial markets:

The CFO must oversee the formulation and implementation of policies for dealing with the cash and capital markets, as it is known that each company influences and is affected by assets, general conditions and financial markets where funds are obtained and traded in stocks and bonds, and where investors gain or lose.

(6) Risk Management:

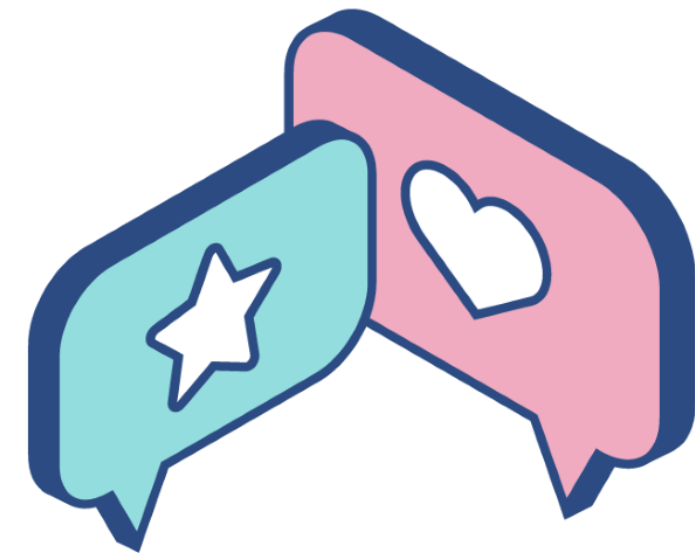
All business organizations face different forms including natural hazards and business risks such as fluctuations in securities prices, interest rates and foreign exchange rates, but many of these risks can be mitigated through insurance or reserve policies.

The CFO is usually responsible for managing the risk program, which includes identifying the types of risks that need to be dealt with and working to cover them using the best means.

In short, the CFO makes decisions about which assets an enterprise should acquire, how those assets can be financed, and how effective management of existing assets can be achieved, if these responsibilities are carried out efficiently and foamly, this will help maximize the market value of the enterprise, thus achieving long-term wellbeing for consumers, workers and society in general.



Thanks For Listening



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